

Wholesale or not, that is the decision

Whether Crema Italia sells to the trade, on what pricing basis, and through what mechanism. Raised by the prospect of a Crema Italia café in Tampa, but standing or falling on its own merits. **Nothing in this document is decided.** It exists to put the question, its consequences and its open ends in one place so the call can be made before the production storefront is built.

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STANDING RULE — EVERY NUMBER HERE IS PROVISIONAL

We are pre-launch. Every figure in this brief is a modelling placeholder, not a settled decision: prices, markups, minimums, thresholds and windows alike. They are good enough to reason against and not good enough to charge money against, and none of them acquires authority by having been written down. The deliberate analysis pass happens after the live site is built and before it is made public. Until then, changing a number costs only the edit.

1. Why this blocks the build

The narrow, build-blocking question is not *“do we want wholesale customers?”* It is smaller and much harder to retrofit:

- **Does a customer carry a class?** Retail or trade. If a customer can ever be trade, that flag has to exist from the first day of the production data model.
- **Does a variant carry a second price, or a readable cost?** A wholesale price is not a discount off retail (see §5). Somewhere, per SKU and per size, a second number has to live.
- **Is a shelf the only way to reach a product?** The four shelves are a consumer discovery device. A trade buyer wants a sorted table. If any surface must ever bypass the shelves, the catalogue cannot assume shelves are the only route in.

Answering “no wholesale, ever” is a perfectly good answer and closes all three cheaply.

Answering “probably, within eighteen months” is also fine, and costs almost nothing *now* and a great deal *later*. What is not available is leaving it unanswered, because the silent default is the first answer while the intention is the second.

2. Where this came from, and the separation that matters

The prompt was a brick-and-mortar Crema Italia café in the Tampa area: a separate legal entity, licensed to use the name, buying coffee from Crema Italia LLC under agreement and brewing it for the public.

These are two different things and should be judged separately:

- **The café** is a business with its own economics, entity, lease and risk. Its value to Crema Italia is mostly *retail*: bags on a shelf, a tasting room, a cup that carries a route back to the online store.
- **The wholesale channel** is a customer class, a pricing basis and an order mechanism.

The café is a poor justification for the channel. If we control both sides, the café does not need a login; it needs an invoice. **Building a self-service wholesale storefront to serve one customer we already control would be backwards.** The channel has to stand on reasons of its own.

It does appear to have some. It puts a second demand curve on the same landed inventory, which changes what a quarter-pallet purchase decision means. It absorbs volume at a predictable cadence, which is what makes import lot-sizing work. And it is intended to **demonstrate volume and cadence to the roasters** while the direct-to-consumer book is still accelerating, which strengthens our hand when rates are renegotiated.

3. Settled in discussion, 25-AUG-2026

These are Steve’s calls from the conversation that produced this brief. They are recorded as positions taken, not as published rules; none of them is in a Standard yet.

Position	Reasoning
Flat wholesale pricing	No standing markdown ladder tied to age. A ladder that deepens as coffee ages trains every account to wait until day 80 before ordering.
Aged stock handled as separate, controllable offers	Occasional and deliberate, not standing. And the expectation is that Offerta counts stay small in the first place.
Buyer pays their own freight, always	No free-shipping tier of any kind on trade orders.
Price presented as a discount off retail	The buyer needs to see and feel real buying power. Part of what keeps retail high is that retail carries shipping inside the price.
Same SKUs, no separate trade pack	Cafés will consume 1 kg and may shelf smaller formats for resale.
No lot selection	Follows directly from flat pricing: with no age-based price there is nothing for the buyer to choose between. The 3PL pulls FEFO.

Position	Reasoning
Card at checkout	No net terms, so no credit risk, no invoicing cycle, no chasing.
High minimum order	Real trade volume, not a retail customer seeking a trade price. Figure not yet set (\$7).
Tax ID required	Proof the buyer is genuinely a business.
Target 5–20 accounts in year one	Generate volume while the B2C book accelerates, and establish cadence with the roasters ahead of any rate renegotiation.
Café is a separate entity under licence	With name licence and purchase agreements, so pricing between the two must be defensible at arm's length.
Decide before the build	The reason this brief exists.

4. Four findings that could reshape this before pricing matters

Each of these, if it lands badly, changes the shape of the answer rather than its detail. Two are platform facts we should verify on the free development store before relying on them; two are not technical at all.

4.1 Shopify's native B2B is almost certainly Plus-only

Company profiles, B2B catalogues, per-company price lists and payment terms appear to be gated to Shopify Plus, which we already declined at roughly \$24,000 a year over a single checkout field. That leaves three routes: a third-party wholesale app, a hand-rolled customer-tag approach, or keeping wholesale off the storefront entirely.

Confidence: high, but unverified on our own store. Worth ten minutes on the development store before it is treated as fact.

4.2 The Liquid customer object may not be reliable enough to gate a storefront on

This is the finding that most threatens the “separate login shows a different store” premise. A store created today runs new customer accounts only, and under those, the Liquid customer object has been reported null while the visitor is signed in, with details expiring after about a day. If the theme cannot reliably tell who is looking, it cannot reliably show them a different catalogue.

Confidence: this is forum reporting rather than documentation, which makes it exactly the sort of thing that passes a test on Tuesday and fails on Wednesday. Cheap to test; expensive to discover mid-build.

4.3 Do our roaster agreements permit wholesale at all?

The Roaster Guide and the intro correspondence are written around Crema Italia as a consumer import channel — *the premier consumer channel for each of these roasters*. Italian roasters typically care a great deal about who serves their coffee out of a portafilter, because it is their

reputation in a cup they did not pull, and several will already have distribution arrangements of their own.

This is a contract question, not a code question, and it sits upstream of everything else in this brief. No roaster has signed yet, which makes it cheap to raise now and expensive to raise later. It should be settled in the roaster agreement rather than discovered afterwards.

4.4 Wholesale enlarges the one-SKU-two-products problem

We already have an unresolved issue where a single physical SKU can back more than one Shopify product, and it was proven on the development store that Shopify gives each variant its own independent inventory pool — so it will cheerfully believe in seventy bags when forty exist. That is an overselling risk, not merely a mis-picking one. A wholesale product drawing on the same bin would add a third claimant.

The mitigation is already inside this brief: **flat pricing and no lot selection mean wholesale does not need its own product at all.** It needs a different *price* against the same stock, which is a much smaller ask and does not split the pool.

5. Pricing: compute from cost, present as a discount

Cost-plus is the right instinct, and expressing it to the buyer as a discount off retail is the right presentation. They should not be the same operation.

Why a flat percentage off retail is the wrong mechanism

Retail price is landed cost multiplied by a markup that varies by shelf and size, and larger sizes already carry a lower markup because the consumer is being given a volume break. So 1 kg retail already sits closer to cost than 250 g retail does.

A flat percentage off retail therefore delivers our **thinnest margin on the exact format cafés buy most of**, the 1 kg, while overcharging on the 250 g bags they shelf for resale. Same account, both formats, one of them mispriced.

The resolution: compute the wholesale price per SKU and size from fully loaded cost, then display it against the retail shelf price so the buyer sees the discount. One price basis, controlled margin per format, and the buying-power signal intact.

Two questions to settle on the cost-plus itself

- **Markup or margin?** $\text{Cost} \times 1.30$ is a 23.1% gross margin. $\text{Cost} \div 0.70$ is a 30% margin and a 42.9% markup. These are routinely conflated and the gap is real money.
- **Plus on which cost?** Our recorded cost is *inbound* landed: the EUR price plus freight, tariff and handling to the warehouse. It does not carry pick-and-pack, 3PL storage, card processing at 2.7%, or breakage. At a 23% gross margin, card fees alone consume roughly an eighth of it. The plus should be set against fully loaded cost, or set high enough that we know what it is absorbing.

A sanity check against the cost model's most-likely landed figure puts cost $\times 1.30$ at roughly \$37/kg, about \$16.80/lb, which lands wholesale near 45% of the retail 250 g price. That is inside the conventional wholesale zone for the trade, where 50% of retail is the usual default, so the number is not obviously wrong. That is reassurance, not validation.

The shipping subsidy is most of the answer

Retail price carries outbound shipping inside it: free over the threshold, flat below. A trade buyer pays their own freight, which means **a meaningful share of the discount we hand them costs us nothing at all**. It is simply the shipping we no longer pay. We can offer a headline number that reads generously while giving up only a fraction of it in true margin.

It is also the honest sales line, and honest sells better here: *you pay your own freight, so you keep what we would otherwise spend delivering to a doorstep*.

Resale and channel control

At roughly 45% of retail, a wholesale buyer can trivially resell bags online and undercut us. Every serious wholesale agreement handles this with channel restrictions, territory, or a minimum advertised price policy. **That term needs to exist before the first account, not after the first incident.**

6. Freshness: a different curve, not a relaxed one

The intuition that cafés worry less about freshness is half right, and the correction changes the policy.

- **Espresso wants rest.** Most roasters will not pull a good shot on beans younger than about seven days, and many prefer ten to twenty-one days off roast. A bag we would consider ideally fresh at day five is *too young* for a café.
- **They work through a bag in days, not weeks.** Mid-life coffee performs well for them where a consumer's last cup from a 250 g bag might be drawn at day sixty.

So the trade window is *shifted later* rather than *widened*. Something on the shape of "we ship trade orders between ten days and the end of our main window" is a differently shaped promise, not a weaker one, and it is defensible in front of a buyer who knows coffee.

Flat pricing already protects the freshness posture. The tiered cost-plus originally floated — deeper discounts as coffee approaches maximum age — would have made the wholesale channel a standing markdown ladder for old inventory, competing directly with Offerta for the same bags and training every account to order late. Flat pricing removes all three problems at once. Aged stock, when it exists, goes out as an occasional and separately controlled offer.

One thing to watch rather than assume: the hope that Offerta counts stay small is decided by import lot sizing, and will not be knowable for a few cycles. If Offerta turns out to carry real volume, the question of who absorbs it reopens.

7. Minimums, and the tension inside them

A high minimum makes each order worth packing and keeps out the retail customer chasing a trade price. But a quarter-pallet minimum means the café is holding two to three months of coffee, which is precisely the opposite of what we sell.

A starting position to react to, not a decision:

- **Roughly \$500 to \$750 per order**, or about 15 to 20 kg. For a small café running five to fifteen kilos a week, that is about a month, so they reorder monthly and never hold stale stock.
- **Enforce seriousness through a commitment, not a single large drop.** A quarterly or annual volume commitment does the job the pallet was being asked to do.
- **The minimum's real job** is to exclude the buyer who wants one bag at trade price, and to make the tax-ID and account vetting worth doing.

Note where that lands: a trade customer buying a fixed quantity on a regular cadence is a subscription. **The mechanism built for Roccia may be closer to the right shape for wholesale than the one-big-drop model is**, and “same as last time” is the most common wholesale order in the entire trade.

Tax ID is the wrong document, or at least not the only one

An EIN proves a business exists. What actually matters for not charging sales tax is a **resale or sales-tax exemption certificate**, collected and retained per state, and kept current. Shopify supports marking a customer tax-exempt on all plans; the compliance burden of holding valid certificates is ours regardless.

8. How orders would actually work

For 5 to 20 accounts, the honest recommendation is to **build nothing and use draft orders**.

The order is taken by a person, built in the Shopify admin at wholesale prices, and sent as an invoice link the buyer pays by card. That delivers every requirement already settled:

- Custom per-line pricing, natively, with no app and no Plus
- Card at checkout, no terms, no credit risk
- Freight charged as its own line
- **The order lands in Shopify as a real order**, so the 3PL receives it through the integration it already has, with no second fulfilment path

The structural point: orders must live in Shopify even if browsing does not. The moment a trade order exists outside Shopify we have created a second inventory truth and a second thing to tell the 3PL about. Draft orders keep the browsing outside and the order inside, which is the right seam.

At twenty accounts ordering monthly this is roughly twenty invoices a month, a few hours of work. Self-service gets built when that becomes genuinely annoying, somewhere around

twenty-five to thirty accounts, and by then we will know what these customers actually order, which we do not now.

The sales pattern this matches

The first order is always human: someone brings samples, they cup it, they ask what happens when a lot runs out. Reorders want to be frictionless. So the split is not *login versus price list*, it is **relationship for the first order, self-service for the reorder** — and at year-one volumes, a person and an invoice link is faster than any software we could write.

Where wholesale prices live

We have already committed to building a SKU price-maintenance tool: landed cost times markup with approval governance, spreadsheet-assisted at launch, because it is not a native Shopify feature. **Wholesale pricing is one more column in a tool already planned**, not a new system. From there it reaches the world as a generated trade price list, and as the numbers typed into a draft order.

One item for the 3PL qualifying questions

FEFO is the right pull discipline and it is not the same as FIFO. Many 3PLs pick FIFO by *receipt date*, which only equals FEFO if lots always arrive in roast order. **Ask specifically: can you pick FEFO against a lot attribute we supply, rather than by receipt date?** This joins the qualifying questions already on the list.

9. Two side matters that are not wholesale

9.1 Custom Sorpresa boxes are contract packing

The idea of OEM-packaged collections for a gift-shop buyer — standard 100 g SKUs inside, the retailer's packaging outside, never on the Sorpresa shelf and never sold B2C — is a different business from wholesale and should be named as one so it does not quietly become "just another SKU".

- **Custom print carries minimums**, typically several hundred to a thousand units. Someone fronts that cash: the buyer, or us amortised into unit price against a committed volume.
- **Whose name is the responsible party on the box?** Labelling requires one. If the outer packaging carries a third party's brand, that has a real answer and it is needed before the first box prints.
- **Roaster consent is sharper here than for plain wholesale.** Their coffee inside someone else's box is a different conversation from their coffee in their own bag on a café shelf. Expect some roasters to permit the second and refuse the first.

9.2 The café name licence has a trademark trap in it

We would be licensing an **unregistered** mark to a separate legal entity. The thing to get right is that a trademark licence lacking genuine quality-control provisions, and lacking actual exercise of them, can be treated as a naked licence — which in the worst case is treated as abandoning rights in the mark.

This is entirely avoidable with standard drafting, and cheapest to handle in the same conversation as the USPTO filing rather than afterwards. It matters more than it otherwise would because the café would be the most visible use of the name we have. **One for the attorney, not for us.**

10. The real constraint is not software

Who sells 5 to 20 accounts? Wholesale coffee accounts are won by a person walking in with a bag and a thermos, repeatedly. Five to twenty signed accounts is plausibly one to two hundred approaches. Lucia is in Italy; Lauren is US operations. That is a job, not a task, and it is the actual constraint on the plan — not the pricing, and certainly not the storefront.

A second one worth deciding now rather than later: the volume-for-negotiation logic is a legitimate *purchasing* strategy, and any rate improvement won would flow to the retail book as well. But it only pays if the improvement materialises. **Decide in advance what evidence would show that it did**, otherwise we will simply have added a thin-margin channel and called it strategy.

11. The decision

Option A — No wholesale

Direct to consumer only. The café, if it proceeds, buys through an ordinary commercial agreement handled off-platform between two entities.

Commits us to: no customer class, no second price, shelves as the only route to a product. Cheapest build. Forecloses trade volume as a lever with the roasters.

Option B — Wholesale as a relationship channel **RECOMMENDED**

Trade accounts are sold by a person, priced from a generated trade price list, and ordered through Shopify draft orders paid by card. No wholesale storefront, no second login, no gated catalogue.

Commits us to: a customer class, a wholesale price column in the price tool, a trade agreement with channel-control terms, and resale-certificate handling. Near-zero build. Every requirement already settled is met. Self-service can be added later, informed by what these accounts actually order.

Option C — Wholesale as a self-service channel

A trade login that reveals a different catalogue: no shelves, a sorted product table, trade prices, freight calculated at checkout.

Commits us to: everything in Option B, plus resolving §4.1 and §4.2 first — and if either lands badly, either a wholesale app subscription or Plus. Highest build cost, and it would be built before we have the customers to learn from.

Option B is recommended because it is the only one that **defers the expensive and irreversible parts while foreclosing nothing**. It answers the build-blocking questions in §1 — yes to a customer class, yes to a second price, no change needed to shelves — without committing us to build a second storefront for customers who do not yet exist.

12. What must be true before the production build starts

1. **A decision between A, B and C**, or an explicit “B-shaped, decide C later”.
2. **If not A**: confirm the roaster agreement permits wholesale, and settle the channel-control term. This is upstream of everything.
3. **If not A**: a customer class exists in the data model, and a wholesale price has a home per SKU and size.
4. **If C is on the table at all**: verify §4.1 and §4.2 on the development store. Both are short tests.

13. Open questions

1. **Markup or margin**, and on inbound landed cost or fully loaded cost?
2. **What headline discount** should a trade buyer see, and how much of it is the recovered shipping subsidy rather than surrendered margin?
3. **Minimum order** — is \$500 to \$750 the right order of magnitude, and is it per order, per quarter, or an annual commitment?
4. **Who sells?** Steve, a commission rep, or nobody yet.
5. **Does the café buy at the same trade price as a third party?** Related-party pricing between two entities under common control should be defensible, and the café’s true profitability is only visible once the transfer price is honest.
6. **Is contract packing in or out** as a line of business, and does it wait behind ordinary wholesale?
7. **What evidence** would show the volume-for-negotiation strategy worked?
8. **Freight** — parcel only, or do we quote LTL for pallet-scale orders? LTL brings freight class, liftgate and dock questions, and carrier-calculated rates may carry their own plan requirement. Unchecked.